EXECUTIVE SUMMARY

I. Introduction

Agency Profile

Peñablanca (Municipality) is one of the 29 towns of Cagayan. It is approximately 9 kilometers in road distance from Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipality's programs are centered on the provision of basic services, through the enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor.

II. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality for the year 2025 and was aimed at determining whether Management presented fairly their financial statements in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position and financial performance of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Comparative Financial Position			
Assets	₱971,155,126.13	₱836,497,286.52	₱134,657,839.61
Liabilities	44,890,632.12	34,055,603.28	10,835,028.84

Particulars	2025	2024	Increase/ (Decrease)
Government Equity	926,264,494.01	802,441,683.24	123,822,810.77
Results of Operations			
Income	564,598,504.68	483,674,062.93	80,924,441.75
Expenses	440,925,223.43	422,962,455.46	17,962,767.97
Net Income	123,673,281.25	60,711,607.47	62,961,673.78

IV. Operational Highlights

The Municipality's major accomplishments for CY 2025, in terms of the implementation of programs, projects, and activities (PPAs), are summarized as follows:

Name of Program/ Project/ Activity	Amount
Construction of New Peñablanca Public Market (Phase – IX)	₱ 19,926,271.00
Upgrading of Portion of Manga-Minanga Main Barangay Road	2,994,102.48
Upgrading of Portion of Quibal-Buyun Curilao Road	2,947,358.44
Rehabilitation, Repair and Maintenance of Municipal Roads	4,982,763.34
Rehabilitation, Repair and Maintenance of Barangay Roads	1,939,537.21
Improvement of Municipal Public Cemetery	1,982,509.53
Upgrading of portion of Manga-Minanga Main Barangay Road	4,947,798.33
Upgrading of portion of Quibal-Buyun Curilao Road	4,929,858.74
Upgrading of portion of Nanguilattan Main Barangay Road	9,758,738.77
Upgrading of portion of Road leading to Sitio Santor at Minanga	4,857,537.79
Repair and Maintenance of Farm to Market Roads	4,989,815.29
Installation of High Poled LED Lights along Callao-Cabbo Circumferential Road (Callao Area)	9,934,022.47
Sanitary Landfill Development Cum Ecological Park at Bical	2,362,627.48
Concreting of Farm to Market Road (Phase II)	4,997,214.40
Concreting of Quibal-Nanguilattan Main Barangay Road	1,150,681.34
Total	**₱ 82,700,836.61**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality for the year-ended December 31, 2025 due to the misstatements aggregating to ₱593,219,389.19 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the principles of the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling to ₱593,219,389.19, in absolute value, which is material to modify auditor's opinion based on the overall planning materiality threshold, summarized as follows:

Account	Assets/Liability	Prior Period Adjustment /Revenue/Expense	Total
Property, Plant, and Equipment	₱ 323,647,613.83	-	₱ 323,647,613.83
Other Maintenance and Operating Expense (OMOE)	-	153,073,576.16	153,073,576.16
Inventories for Distribution – *Various accounts*	40,245,405.00	-	40,245,405.00
Donations in Kind	-	40,245,405.00	40,245,405.00
Due to NGAs	12,534,441.78	-	12,534,441.78
Due to GOCCs	6,534,441.78	-	6,534,441.78
Due to LGUs	6,000,000.00	-	6,000,000.00
Land	5,162,545.00	-	5,162,545.00
Construction in Progress Accounts	5,775,960.64	-	5,775,960.64
Total:	**₱ 387,365,966.25**	**₱ 193,318,981.16**	**₱ 580,684,947.41**

As a result, the following accounts in the financial statements of the Municipality were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Property, Plant, and Equipment	-	₱ 323,647,613.83	1
Other Maintenance and Operating Expense (OMOE)	-	153,073,576.16	2
Inventories Held for Distribution – *Various Accounts*	40,245,405.00	-	3
Donations in Kind	40,245,405.00	-	
Due to NGAs	-	12,534,441.78	4
Due to GOCCs	6,534,441.78	-	
Due to LGUs	6,000,000.00	-	
Land	-	5,162,545.00	5
Construction in Progress Accounts	-	5,775,960.64	6
Total:	**₱ 93,025,251.78**	**₱ 500,194,137.41**	

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that needs immediate attention and action by the Municipality, are as follows:

1. **The Municipality utilized ₱75,070,095.93, representing 68.64 percent of the CY 2025 appropriations for the 20% Development Fund amounting to ₱109,366,401.60, which entailed the full implementation of 12 programs, projects, and activities totaling ₱58,607,628.79.**

However, 5 PPAs were only partially implemented and 4 PPAs were not implemented, with aggregate appropriations of approximately ₱13,537,532.86 and ₱20,000,000.00, respectively. This resulted in low overall utilization of the 20% Development Fund for CY 2025, which is inconsistent with the principle of optimal and timely use of development funds as prescribed under DILG–DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, and DBM–DOF–DILG Joint Memorandum Circular No. 1 dated November 4, 2020.

To further improve project implementation and fund utilization, it is recommended that the Management, through the Municipal Engineering Office and other concerned offices:

A. Closely monitor and prioritize the implementation of ongoing or pending PPAs, while maintaining and regularly updating accurate implementation status reports to ensure project timelines are met and support informed management decisions and reliable progress reporting; and

B. Ensure that PPAs included in the approved Annual Investment Program are procurement- and implementation-ready, consistent with the requirements of DBM–DOF–DILG JMC No. 1 dated November 4, 2020. This will improve fund utilization, facilitate timely delivery of project outputs, and ultimately contribute to achieving the Municipality's socio-economic development and environmental objectives.

2. **The Municipality has complied with the five percent (5%) allocation requirement for the Local Disaster Risk Reduction Management Fund for CY 2025, amounting to ₱27,922,436.70 based on its total estimated regular income of ₱558,448,734.00. Moreover, the Local Disaster Risk Reduction and Management Fund was properly allocated, with the amount of ₱8,376,731.01 or 30 percent set aside for the Quick Response Fund, and the remaining ₱ 19,545,705.69 or 70 percent was allocated for the Prevention and Mitigation Fund, in accordance with the provisions of Section 21 of Republic Act No. 10121 and Item 4 of COA Circular No. 2012-002 dated September 12, 2012.**

   However, the unexpended balances of the Quick Response Fund and DRRM (Mitigation Fund)–MOOE, totaling ₱11,291.27 were not transferred to the Special Trust Fund under the account Trust Liability – DRRMF in the Trust Fund Books, which is not in compliance with paragraph 3 of Section 21 of Republic Act No. 10121 and Item 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012, thereby posing the risk of misapplication of funds and affecting the fair presentation of accounts in the financial statements.

   We commended the Management for their compliance and we likewise recommended that the Management continue to be compliant with the rules and

regulations on the allocation of the LDRRMF pursuant to the provisions of Section 21 of Republic Act No. 10121 and Item 4 of COA Circular No. 2012-002 dated September 12, 2012.

We nevertheless recommended that the Management establish or strengthen monitoring controls over the Local Disaster Risk Reduction and Management Fund to ensure that only valid and proper expenditures are charged, and that all unexpended or unobligated balances are properly transferred to the STF in a timely manner.

VII. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2025:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 3,021,482.67	-	-	₱ 3,021,482.67	-
Current Year	-	-	-	-	-
Total Suspensions	**3,021,482.67**	-	-	**3,021,482.67**	-
Disallowances					
Prior Years	215,138.00	-	-	215,138.00	-
Current Year	-	-	-	-	-
Total Disallowances	**215,138.00**	-	-	**215,138.00**	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total Charges	-	-	-	-	-

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Implemented	4
Not Implemented and Reiterated in CY 2025 AAR	7
Total	**11**